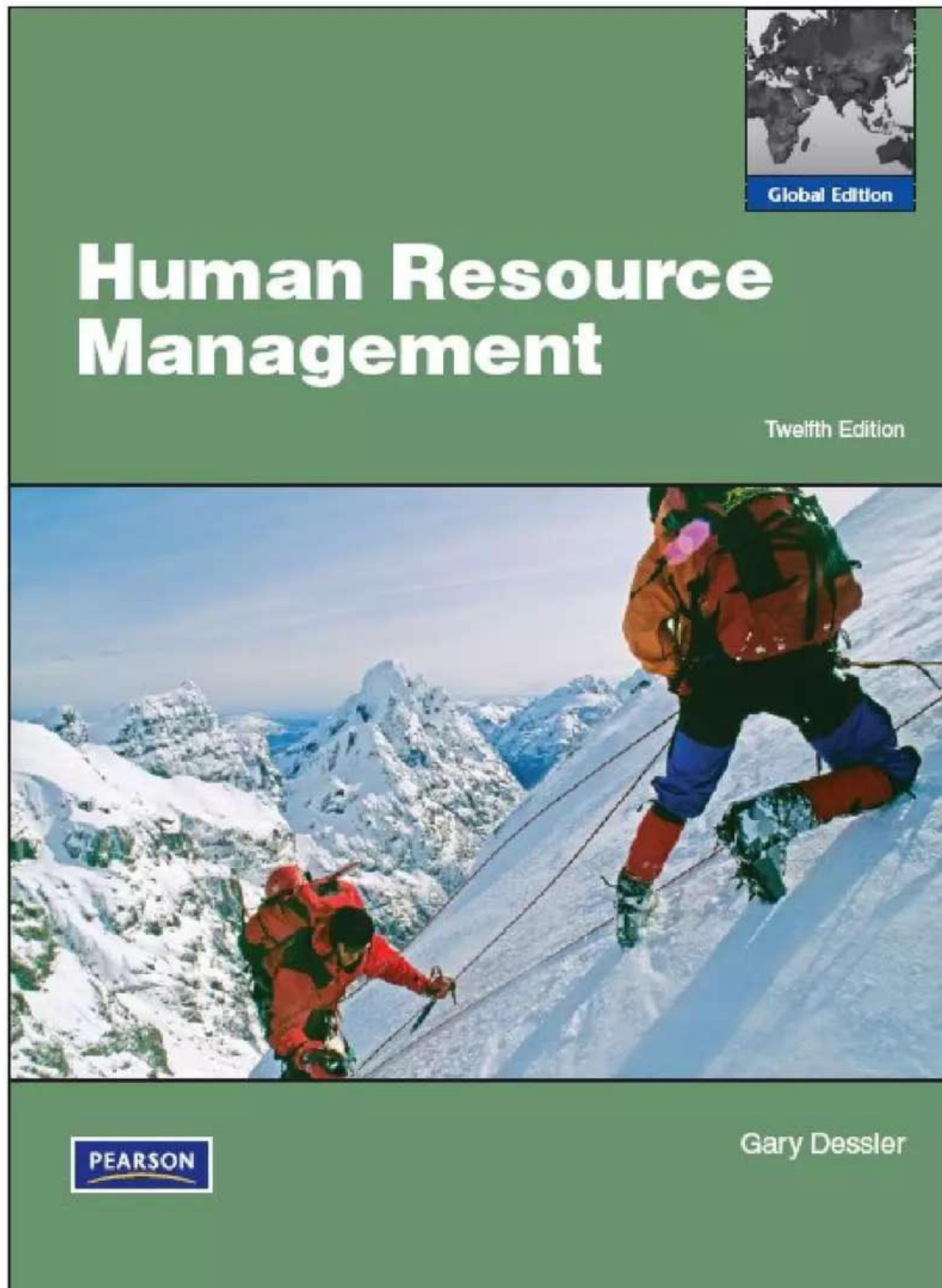


HUMAN RESOURCE MANAGEMENT

Global Edition 12e



Chapter 3

The Manager's Role in Strategic Human Resource Management

Part 1 Introduction

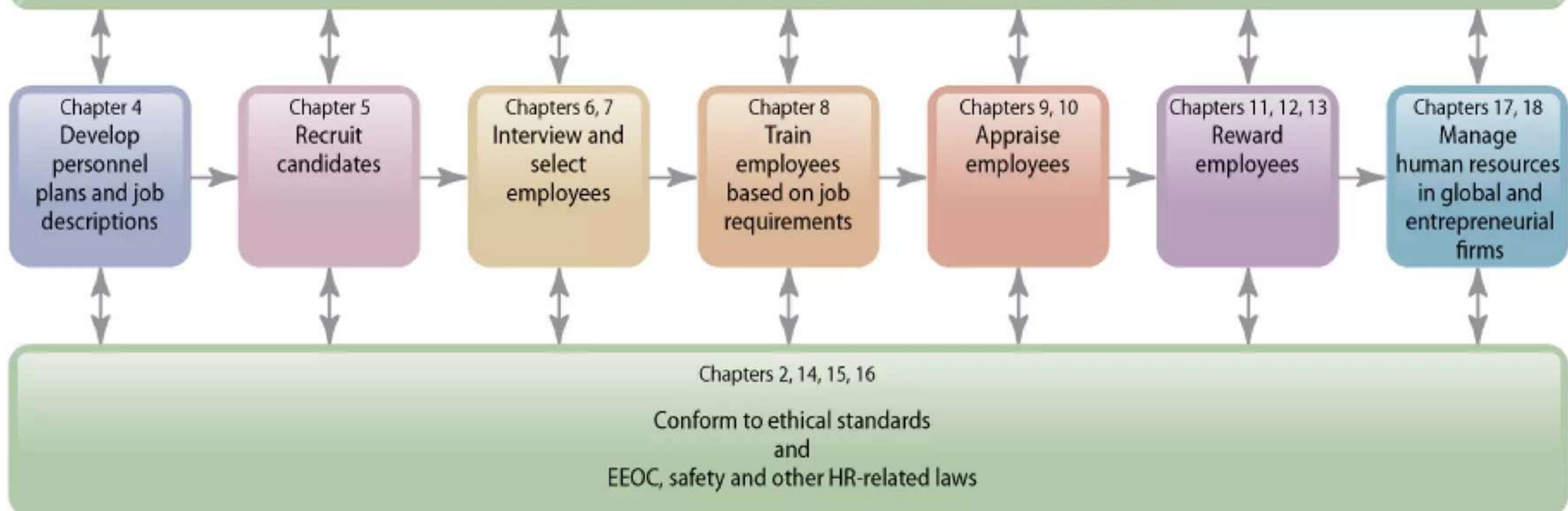
WHERE WE ARE NOW...

Chapter 3 Company's Strategic Plan

- What business are we in?
- On what basis will we compete?
- What traits and skills do our employees need for us to achieve our strategic goals?

Chapter 3 Company's Strategic Plan

- What business are we in?
- On what basis will we compete?
- What traits and skills do our employees need for us to achieve our strategic goals?



LEARNING OUTCOMES

1. Explain why strategic planning is important to all managers.
2. Outline the basic steps in the management planning process.
3. List the main contents of a typical business plan.
4. Answer the question, “What should a manager do to set ‘smart’ motivational goals?”
5. Explain with examples each of the seven steps in the strategic planning process.
6. List with examples the main generic types of corporate strategies and competitive strategies.

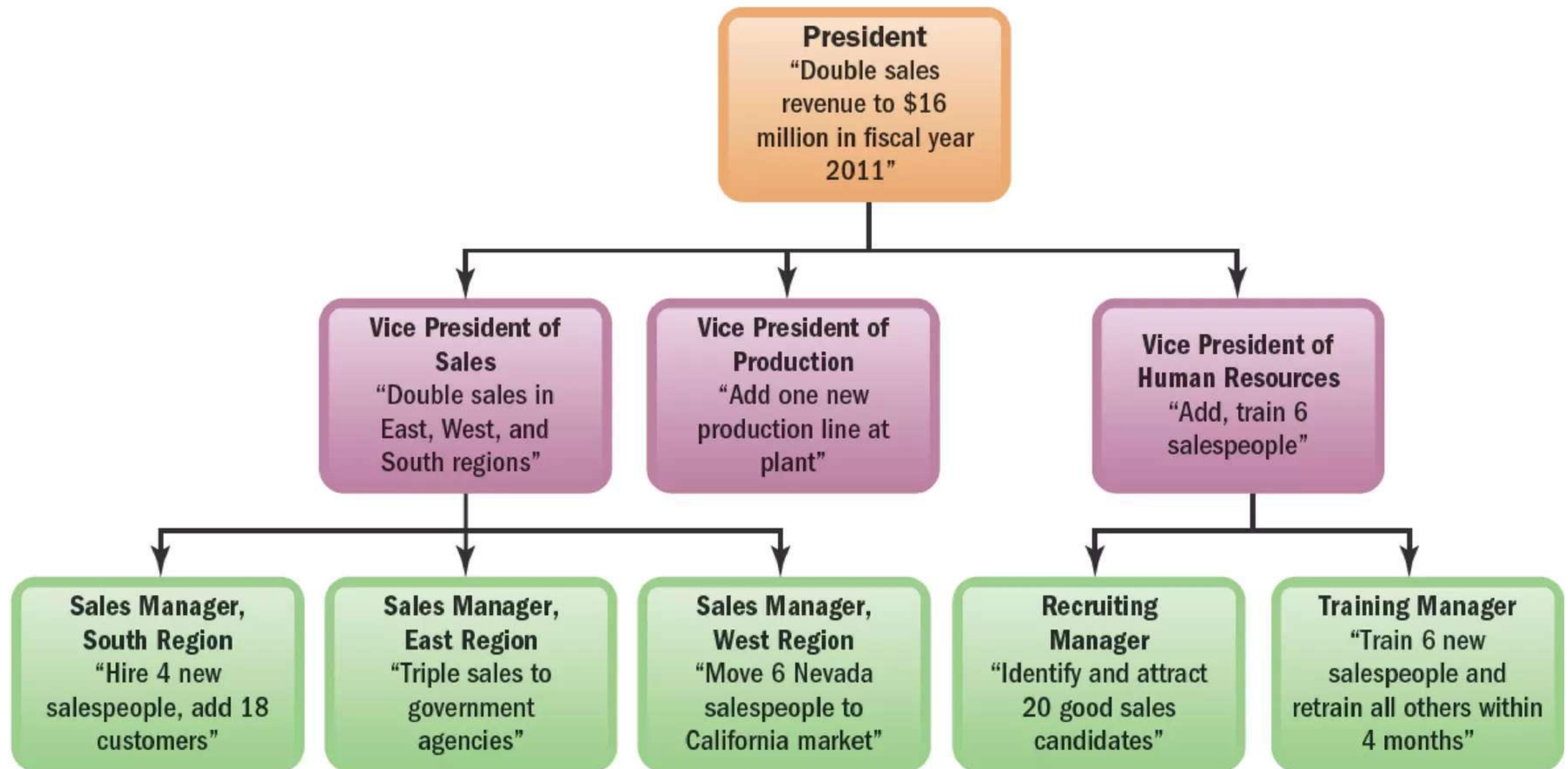
LEARNING OUTCOMES (cont'd)

7. Define strategic human resource management and give an example of strategic human resource management in practice.
8. Briefly describe three important strategic human resource management tools.
9. Explain with examples why metrics are essential for identifying and creating high-performance human resource policies and practices.

Why Strategic Planning Is Important To All Managers

- **The firm's strategic plan guides much of what is done by all to accomplish organizational goals.**
- **Decisions made by managers depend on the goals set at each organizational level in support of higher level goals.**

FIGURE 3–1 Sample Hierarchy of Goals Diagram for a Company



Fundamentals of Management Planning

The Planning Process

- 1 → Set an objective.
- 2 → Make forecasts and check assumptions.
- 3 → Determine/develop alternative courses of action.
- 4 → Evaluate the alternatives.
- 5 → Implement and evaluate your plan.

FIGURE 3–2 Business Plan Table of Contents

1.0 Executive Summary

- 1.1 Company Name and Address
- 1.2 Brief History and Description of Business
- 1.3 Brief Overview of Markets and Trends
- 1.4 Brief Strategy and Keys to Success
- 1.5 Critical Risks and Assumptions

2.0 Vision and mission statement

- 2.1 Managements V ision for the Company
- 2.2 “What Business Are We In?”

3.0 Company Products and Services

- 3.1 Product and Service Description
- 3.2 Customer Benefits
- 3.3 Technology

4.0 Market and Competitive Analysis

- 4.1 Overall Market and Target Market
 - 4.1.1 Market Needs
 - 4.1.2 Market Size and Trends
 - 4.1.3 Historical and Projected Market Growth
- 4.2 Industry Analysis
 - 4.2.1 SWOT Analysis
 - 4.2.2 Major Industry Participants
 - 4.2.3 Economic, Competitive, Other Trends
 - 4.2.4 Main Competitors

5.0 Business Strategy and Marketing Plan

- 5.1 Value Proposition: Why Buy From Us?
- 5.2 Competitive Advantages
- 5.3 Marketing Targets and Strategy
 - 5.3.1 Pricing Strategy
 - 5.3.2 Advertising and Promotion Strategy
 - 5.3.3 Distribution Strategy
 - 5.3.4 Marketing Programs
 - 5.3.5 Sales Strategy

6.0 Production Plan

- 6.1 Production Processes
- 6.2 Quality Assurance

7.0 Organization and Management Summary

- 7.1 Organizational Charts and Structure
- 7.2 Personnel Plan

8.0 Financial Plan

- 8.1 Important Assumptions
- 8.2 Income Statement
- 8.3 Balance Sheet
- 8.4 Breakeven Analysis
- 8.5 Projected Profit and Loss
- 8.6 Projected Cash Flow
- 8.7 Business Ratios
- 8.8 Insurance Requirements

FIGURE 3–3 Acme Consulting Profit and Loss

Pro Forma Profit and Loss (Income Statement)	2010	2011	2012
Sales	\$592,000	\$875,000	\$1,100,000
Direct Cost of Sales	\$159,000	\$219,000	\$ 289,000
Other	\$ 0	\$ 0	\$ 0
Total Cost of Sales	\$159,000	\$219,000	\$ 289,000
Gross Margin	\$433,000	\$656,000	\$ 811,000
Gross Margin %	73.14%	74.97%	73.73%
Operating Expenses:			
Advertising/Promotion	\$ 36,000	\$ 40,000	\$ 44,000
Public Relations	\$ 30,000	\$ 30,000	\$ 33,000
Travel	\$ 90,000	\$ 60,000	\$ 110,000
Miscellaneous	\$ 6,000	\$ 7,000	\$ 8,000
Payroll Expense	\$194,750	\$377,000	\$ 432,000
Payroll Burden	\$ 27,265	\$ 52,780	\$ 60,480
Depreciation	\$ 3,600	\$ 0	\$ 0
Leased Equipment	\$ 18,000	\$ 7,000	\$ 7,000
Utilities	\$ 0	\$ 12,000	\$ 12,000
Insurance	\$ 0	\$ 2,000	\$ 2,000
Rent	\$ 0	\$ 0	\$ 0
Other	\$ 0	\$ 0	\$ 0
Contract/Consultants	\$ 0	\$ 0	\$ 0
Total Operating Expenses	\$423,615	\$587,780	\$ 708,480
Profit Before Interest and Taxes	\$ 9,385	\$ 68,220	\$ 102,520
Interest Expense Short-Term	\$ 1,800	\$ 6,400	\$ 10,400
Interest Expense Long-Term	\$ 5,000	\$ 5,000	\$ 5,000
Taxes Incurred	\$ 646	\$ 14,205	\$ 21,780
Net Profit	\$ 1,939	\$ 42,615	\$ 65,340
Net Profit/Sales	0.33%	4.87%	5.94%

How Managers Set Objectives: SMART Goals

S

Specific

M

Measureable

A

Attainable

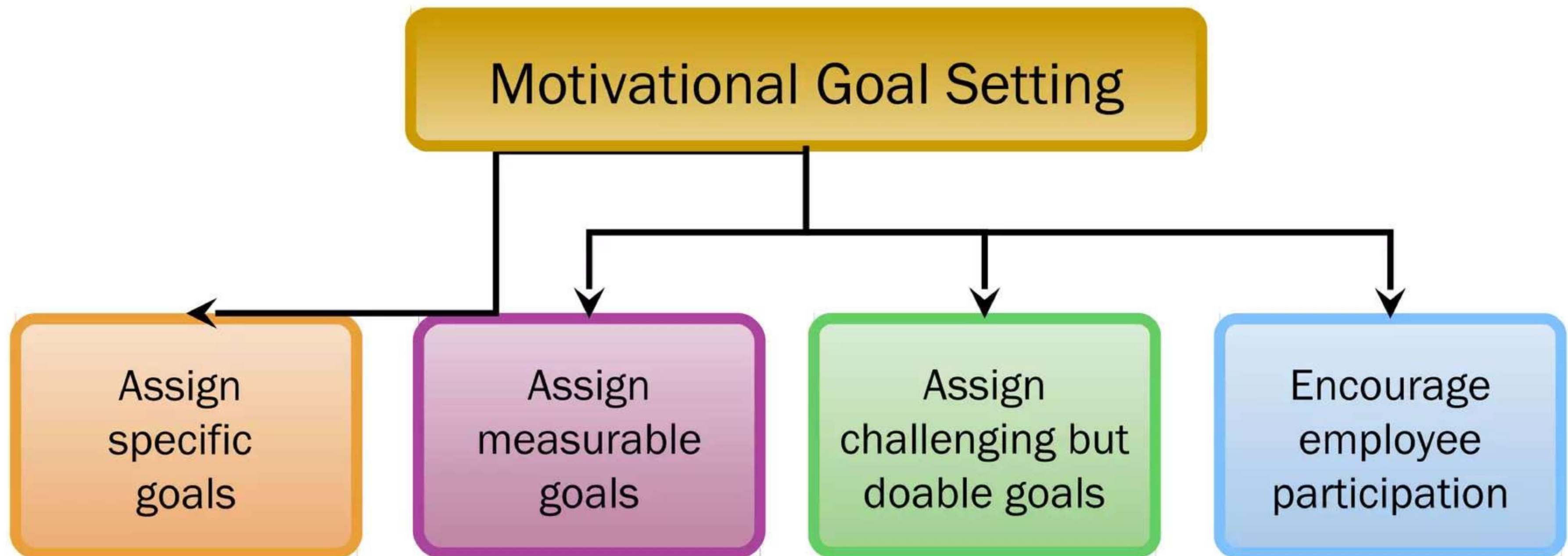
R

Relevant

T

Timely

How to Set Motivational Goals



Using Management by Objectives (MBO)

The MBO Process

- 1 → Set overall organizational goals.
- 2 → Set departmental (supporting) goals.
- 3 → Discuss departmental goals with subordinates.
- 4 → Set individual goals and timetables.
- 5 → Give feedback on progress toward goal.

The Strategic Management Process

- **Strategy**
 - A course of action the organization intends to pursue to achieve its strategic aims.
- **Strategic Plan**
 - How an organization intends to match its internal strengths and weaknesses with its external opportunities and threats to maintain a competitive advantage over the long term.
- **Strategic Management**
 - The process of identifying and executing the organization's mission by matching its capabilities with the demands of its environment.
- **Leveraging**
 - Capitalizing on a firm's unique competitive strength while underplaying its weaknesses.

Business Vision and Mission

- **Vision**

- A general statement of an organization's intended direction that evokes emotional feelings in organization members.

- **Mission**

- Spells out who the firm is, what it does, and where it's headed.

FIGURE 3–4 Management Objectives Grid

Company-Wide or Departmental Objective: <i>Double sales revenue to \$16 million in fiscal year 2011</i>				
Managers' or Subordinates' Objectives in Support of Above Objective	Manager or Subordinate Responsible	Start Date	End Date	Progress as of:
Double sales in East, West, and South regions	Vice President of Sales	8/1/09	7/31/10	President checked 11/09, sales up 60%.
Add one new production line at plant	Vice President of Production	8/1/09	10/31/09	President checked 9/09, work 80% done.
Add and train six new salespeople	Vice President of Human Resources	8/1/09	9/3/09	President checked 9/30/09, all hired, new people trained.

FIGURE 3–5 The Strategic Management Process

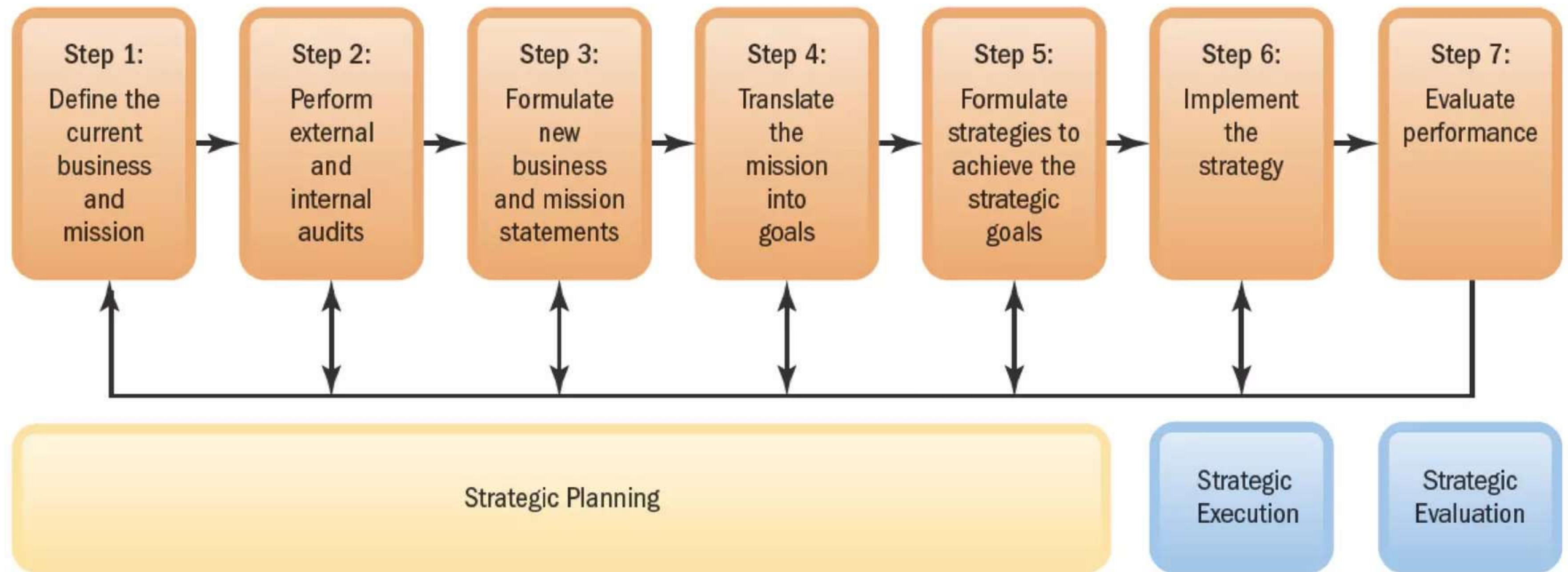


FIGURE 3–6 Worksheet for Environmental Scanning

Economic Trends
(such as recession, inflation, employment, monetary policies)

Competitive and Market Trends
(such as market/customer trends, entry/exit of competitors, new products from competitors)

Political Trends
(such as legislation and regulation/deregulation)

Technological Trends
(such as introduction of new production/distribution technologies, rate of product obsolescence, trends in availability of supplies and raw materials)

Social Trends
(such as demographic trends, mobility, education, evolving values)

Geographic Trends
(such as opening/closing of new markets, factors affecting current plant/office facilities location decisions)

FIGURE 3–7 SWOT Matrix, with Generic Examples

Potential Strengths

- Market leadership
- Strong research and development
- High-quality products
- Cost advantages
- Patents

Potential Opportunities

- New overseas markets
- Failing trade barriers
- Competitors failing
- Diversification
- Economy rebounding

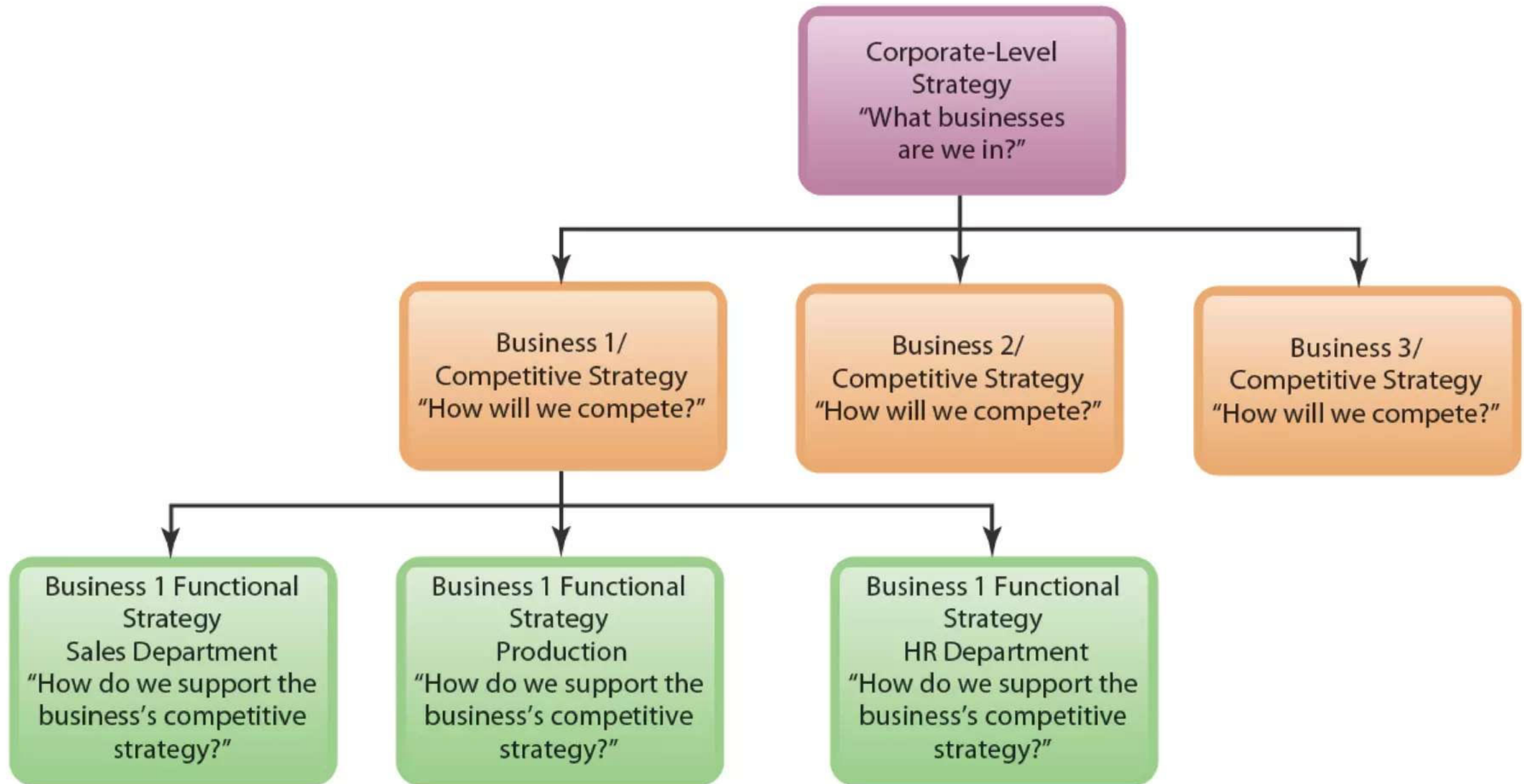
Potential Weaknesses

- Large inventories
- Excess capacity for market
- Management turnover
- Weak market image
- Lack of management depth

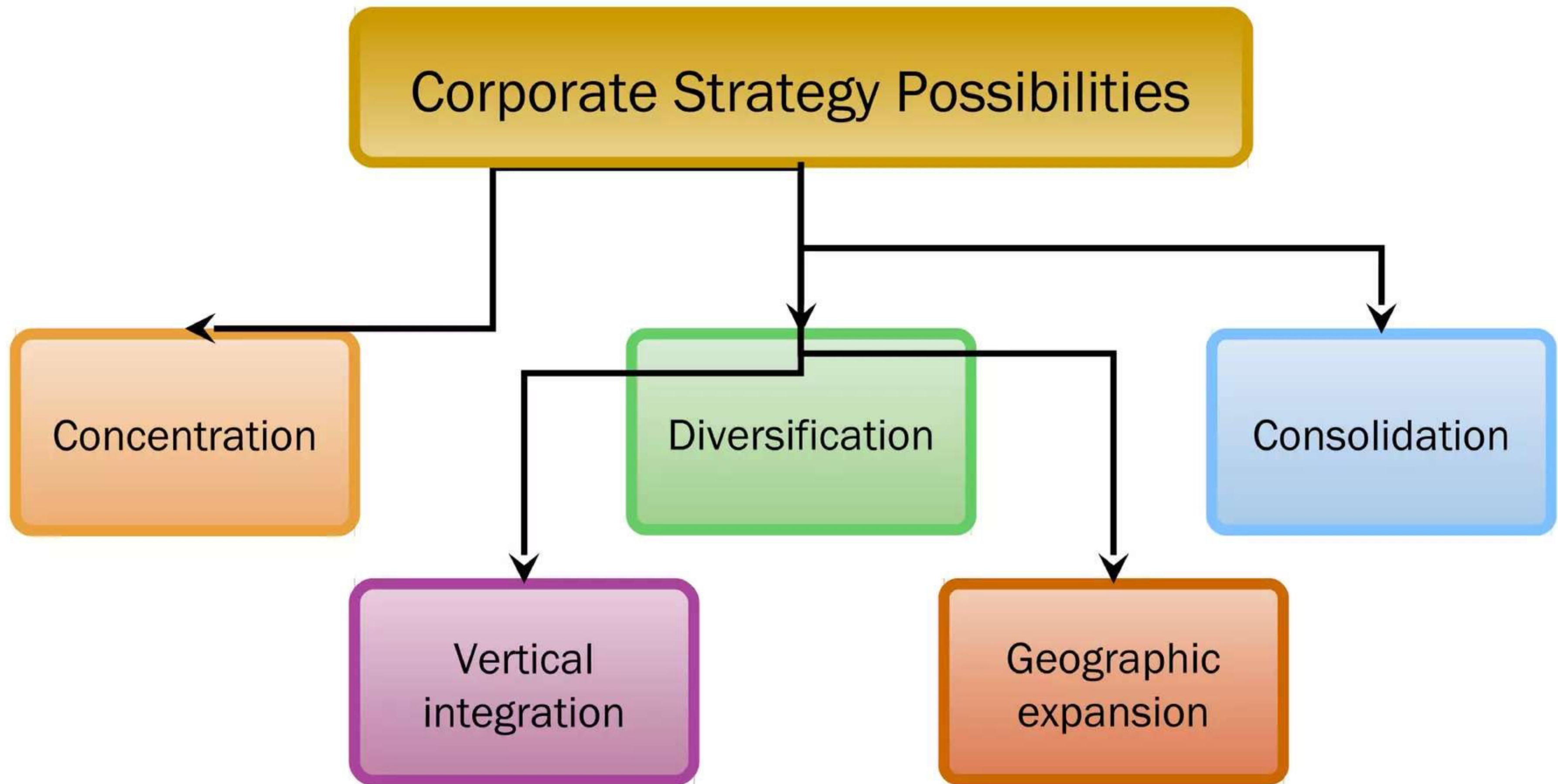
Potential Threats

- Market saturation
- Threat of takeover
- Low-cost foreign competition
- Slower market growth
- Growing government regulation

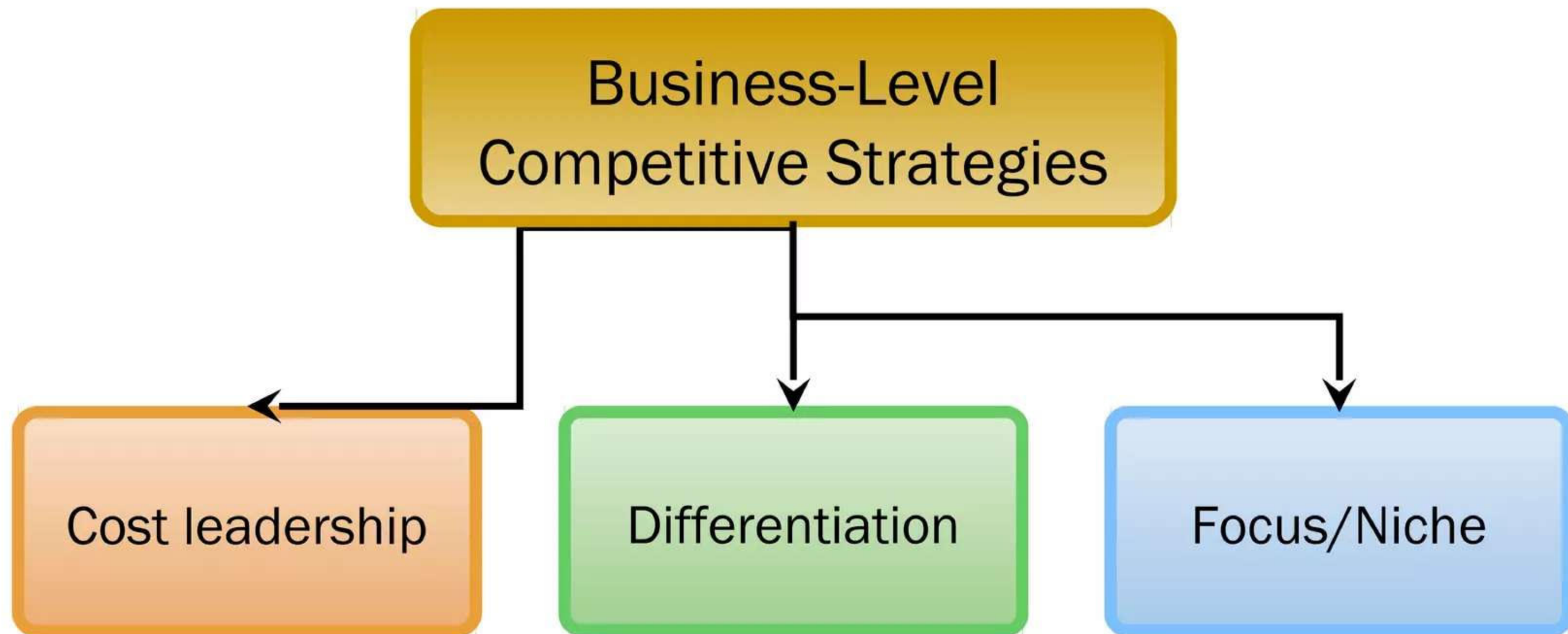
FIGURE 3–8 Type of Strategy at Each Company Level



Types of Corporate Strategies



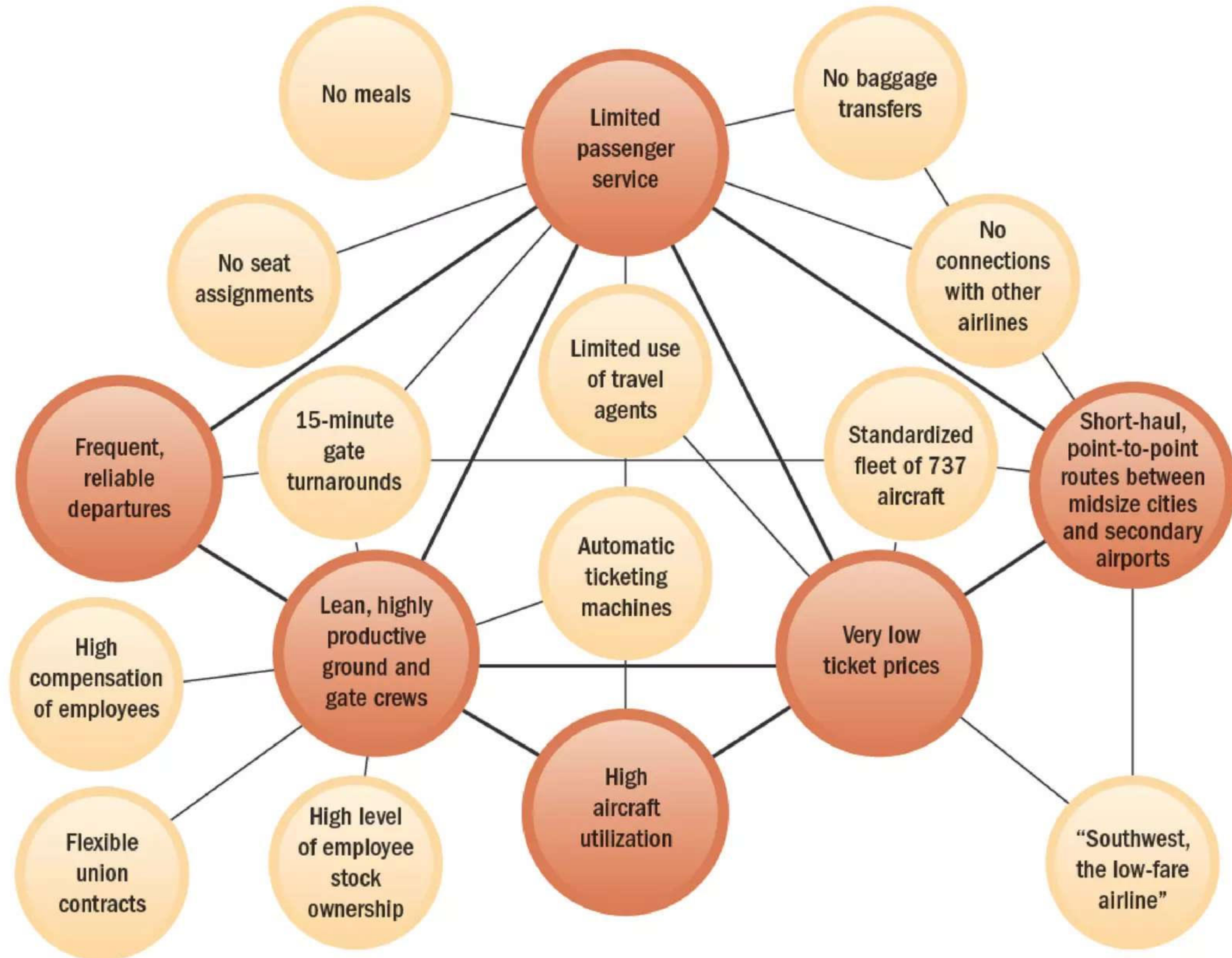
Types of Competitive Strategies



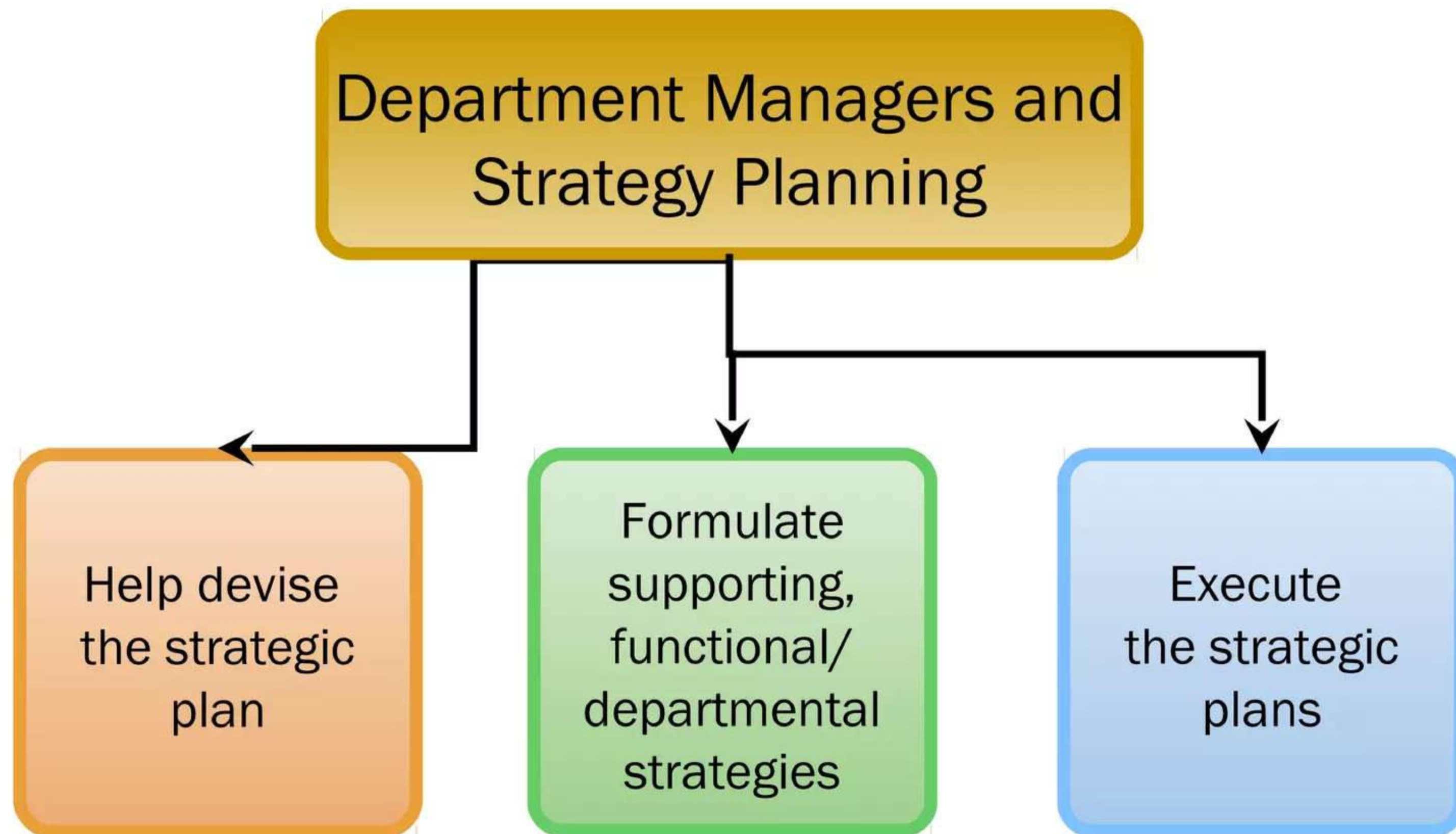
Achieving Strategic Fit

- **The “Fit” Point of View (Porter)**
 - All of the firm’s activities must be tailored to or fit the chosen strategy such that the firm’s functional strategies support its corporate and competitive strategies.
- **Leveraging (Hamel and Prahalad)**
 - “Stretch” in leveraging resources—supplementing what you have and doing more with what you have—can be more important than just fitting the strategic plan to current resources.

FIGURE 3–9 Southwest Airlines' Activity System



Departmental Managers' Strategic Planning Roles



Strategic Human Resource Management

- **Strategic Human Resource Management**
 - The linking of HRM with strategic goals and objectives in order to improve business performance and develop organizational cultures that foster innovation and flexibility.
 - Involves formulating and executing HR systems—HR policies and activities—that produce the employee competencies and behaviors that the company needs to achieve its strategic aims.

FIGURE 3–10 Linking Company-Wide and HR Strategies

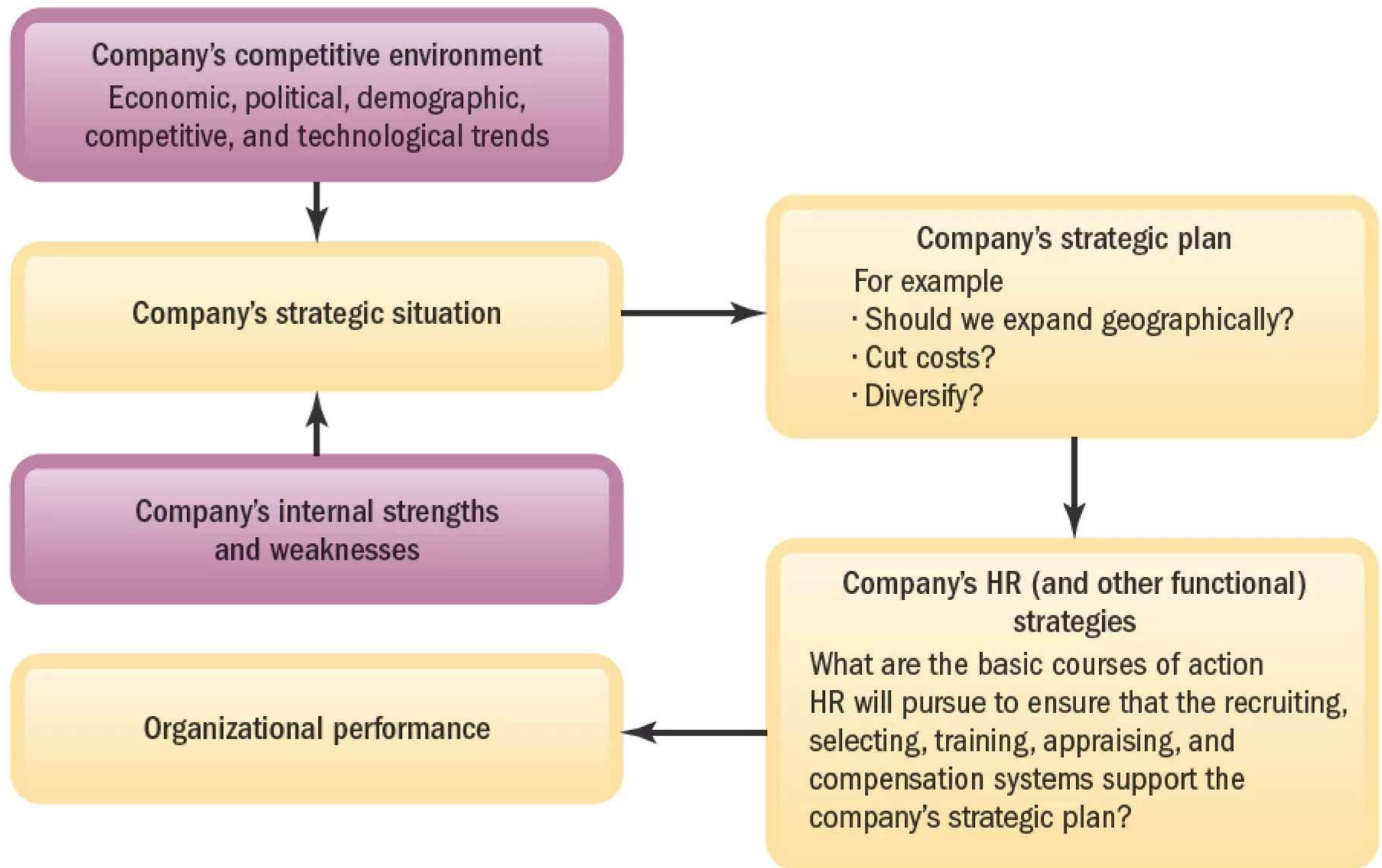


FIGURE 3–11 Basic Model of How to Align HR Strategy and Actions with Business Strategy



Strategic HRM Tools

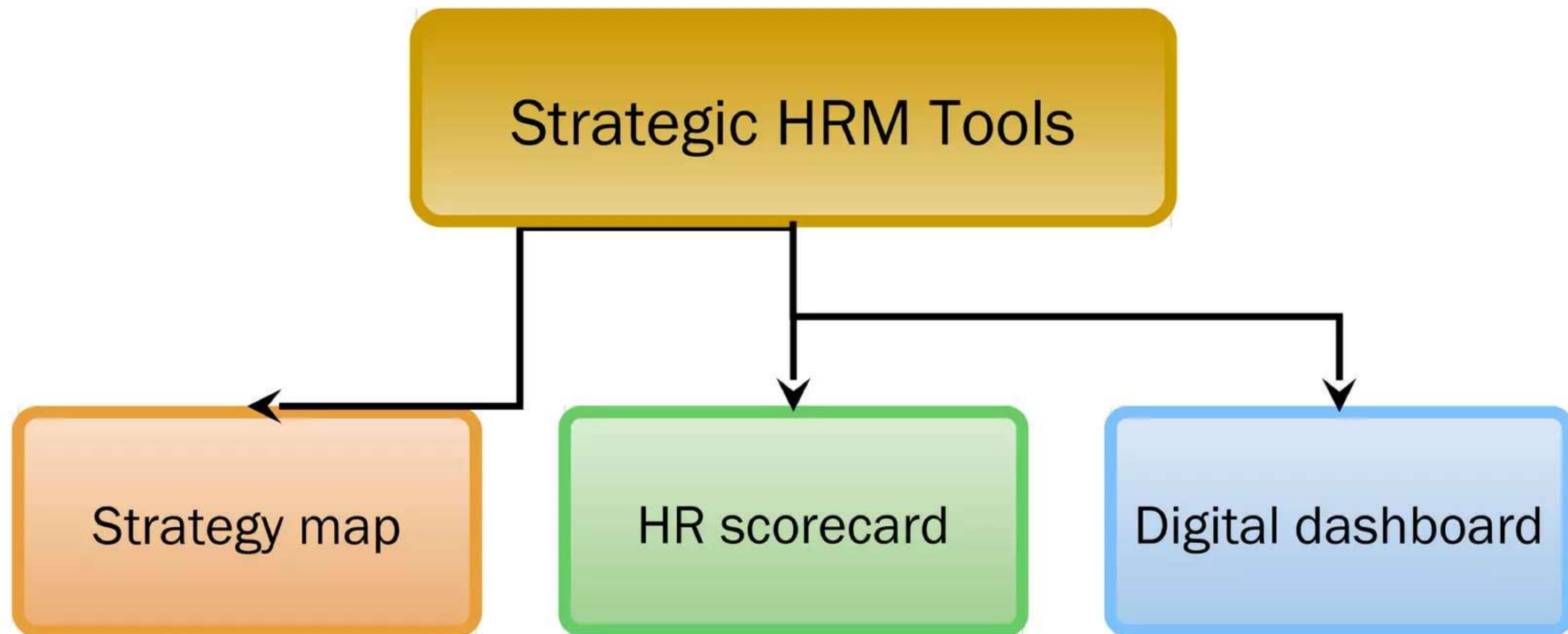


FIGURE 3–13 Strategy Map for Southwest Airlines

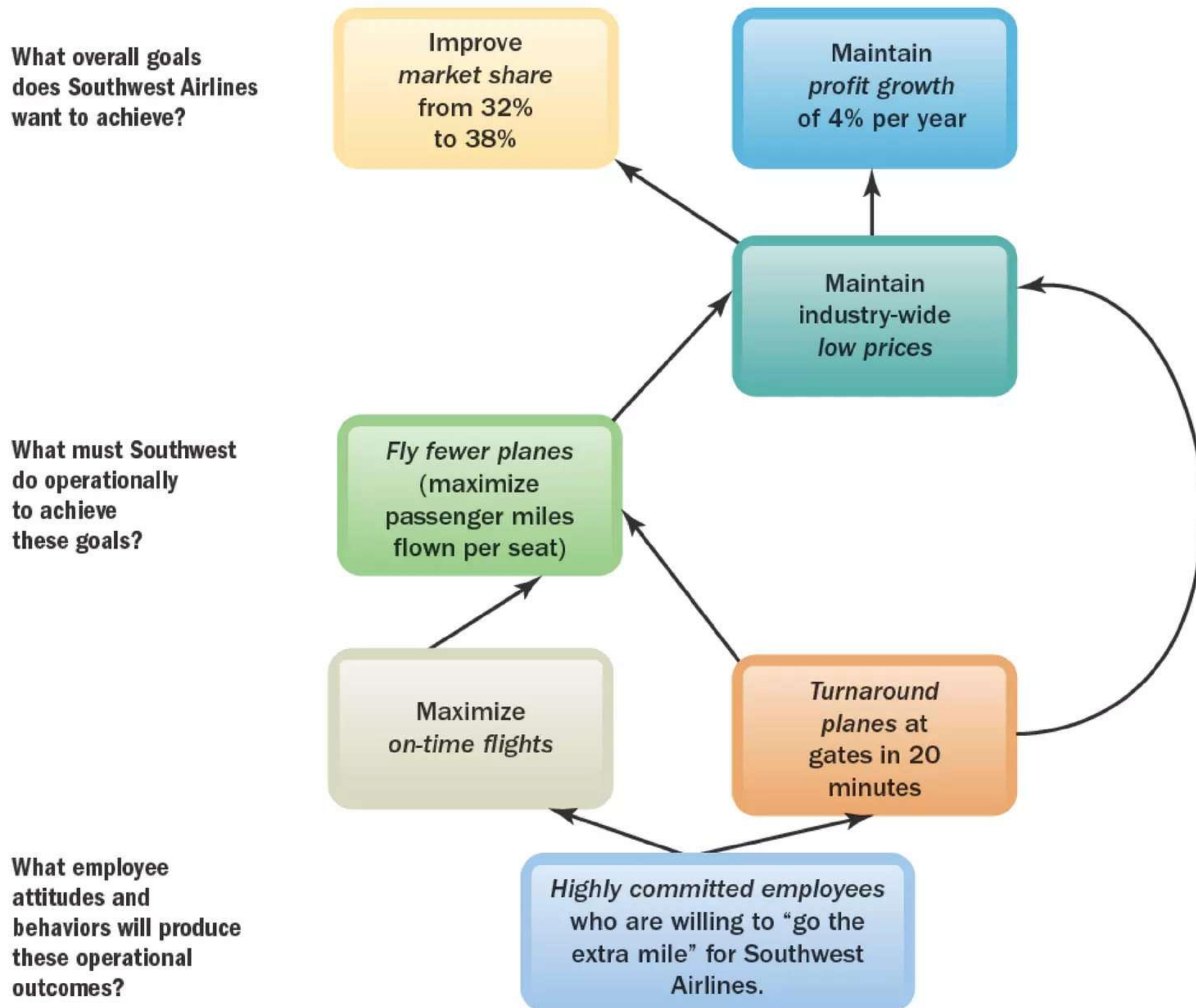


FIGURE 3–14 The Basic HR Scorecard Relationships

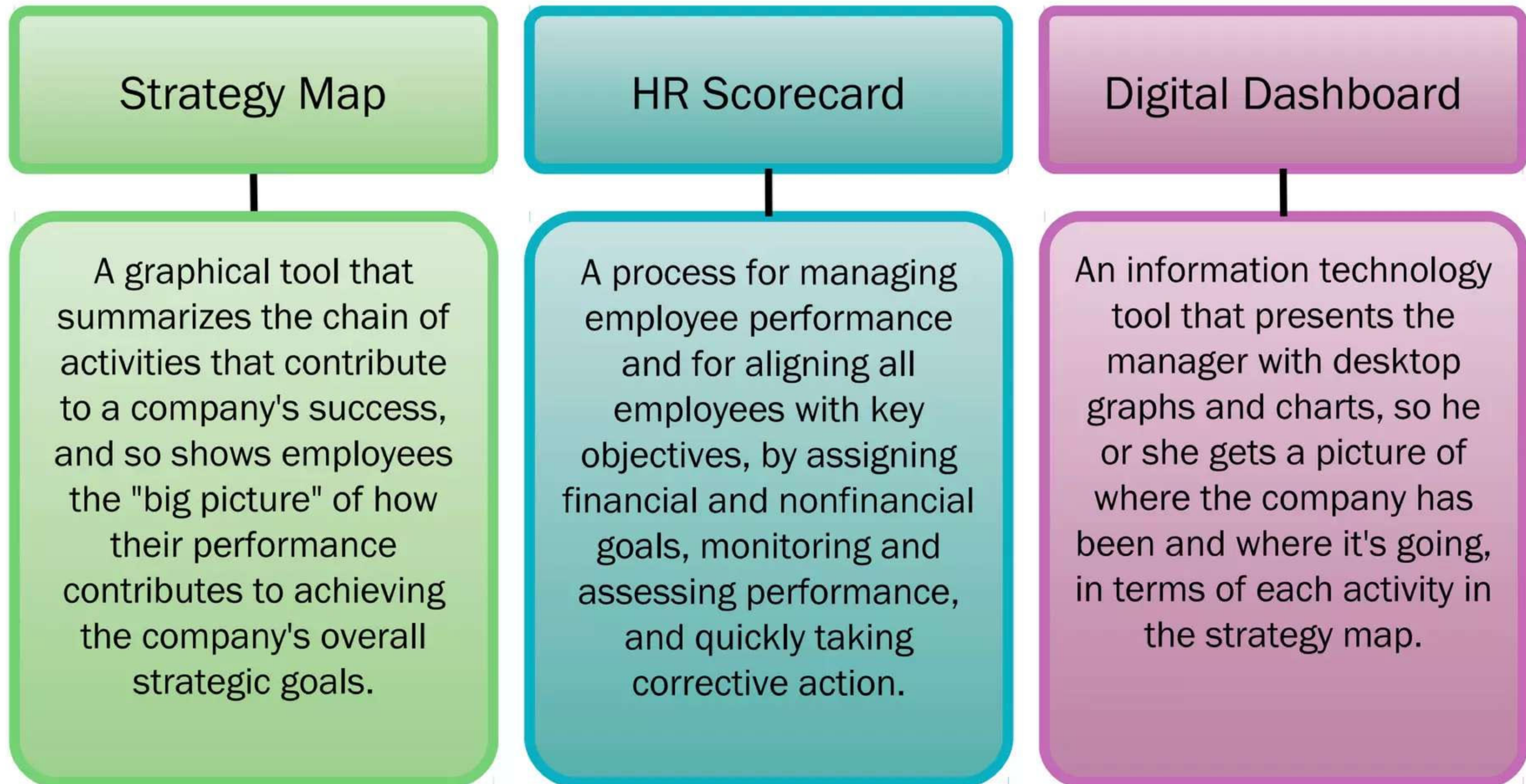


Creating an HR Scorecard

The 10-Step HR Scorecard Process

-
- 1 → Define the business strategy
 - 2 → Outline value chain activities
 - 3 → Outline a strategy map
 - 4 → Identify strategically required outcomes
 - 5 → Identify required workforce competencies and behaviors
 - 6 → Identify required HR policies and activities
 - 7 → Create HR Scorecard
 - 8 → Choose HR Scorecard measures
 - 9 → Summarize Scorecard measures on digital dashboard
 - 10 → Monitor, predict, evaluate

FIGURE 3–15 Three Important Strategic HR Tools



Building A High-Performance Work System

- **High-Performance Work System (HPWS)**
 - A set of human resource management policies and practices that promote organizational effectiveness.
- **High-Performance Human Resource Policies and Practices**
 - Emphasize the use of relevant HR metrics.
 - Set out the things that HR systems must do to become an HPWS.
 - Foster practices that encourage employee self-management.
 - Practice benchmarking to set goals and measure the notable performance differences required of an HPWS.

TABLE 3–1 Comparison of Selected Human Resource Practices in High-Performance and Low-Performance Companies

	Low-Performance Company HR System Bottom 10% (42 firms)	High-Performance Company HR System Top 10% (43 firms)
Sample HR Practices		
Number of qualified applicants per position (<i>recruiting</i>)	8.24	36.55
Percentage hired based on a validated <i>selection</i> test	4.26	29.67
Percentage of jobs filled from within	34.90	61.46
Percentage in a <i>formal HR plan</i> including recruitment, <i>development</i> , and succession	4.79	46.72
Number of hours of <i>training</i> for new employees (less than 1 year)	35.02	116.87
Number of hours of <i>training</i> for experienced employees	13.40	72.00
Percentage of employees receiving a regular <i>performance appraisal</i>	41.31	95.17
Percentage of workforce whose <i>merit increase</i> or <i>incentive pay</i> is tied to performance	23.36	87.27
Percentage of the workforce eligible for <i>incentive pay</i>	27.83	83.56
Percentage of difference in incentive pay between a low-performing and high-performing employee	3.62	6.21
Percentage of the workforce routinely working in a self-managed, <i>cross-functional</i> , or <i>project team</i>	10.64	42.28
Firm Performance		
Employee turnover	34.09	20.87
Sales per employee	\$158,101	\$617,576
Market value to book value	3.64	11.06

KEY TERMS

business plan

management by objectives (MBO)

strategic plan

strategy

strategic management

vision statement

mission statement

corporate-level strategy

competitive strategy

competitive advantage

functional strategies

offshoring

strategic human resource

management

strategy map

HR Scorecard

digital dashboard

high-performance work system

human resource metric

value chain

HR audit

FIGURE 3–16 Simple Value Chain for “The Hotel Paris”

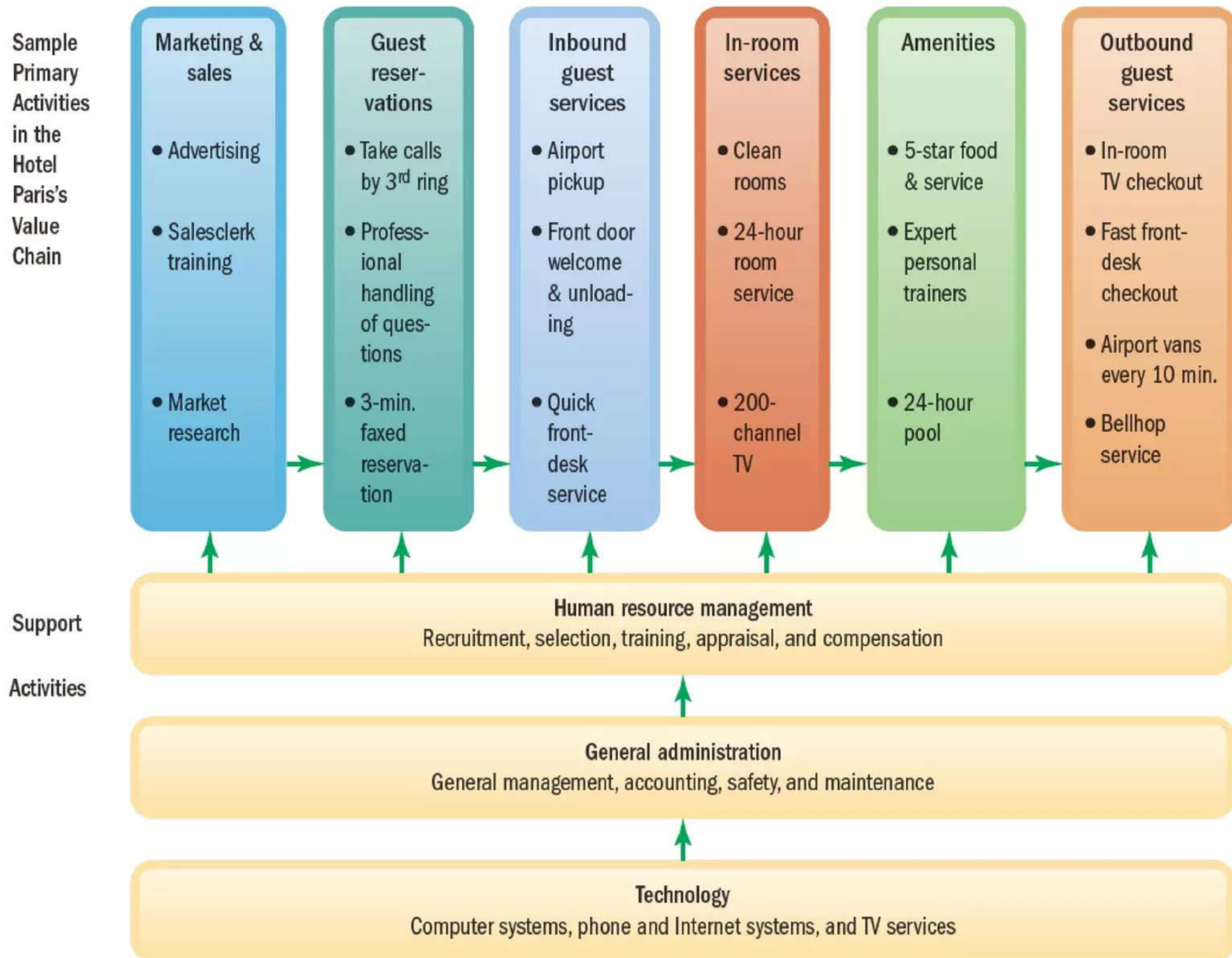


FIGURE 3A-1 Simple Value Chain for “The Hotel Paris”

Organizational Size	<i>n</i>	25th Percentile	Median	75th Percentile
Total	751	0.73	1.12	1.88
Fewer than 100	209	1.52	2.41	3.45
100 to 249	230	0.74	1.00	1.65
250 to 499	100	0.67	0.94	1.32
500 to 999	55	0.60	0.83	1.27
1,000 to 2,499	76	0.50	0.79	1.04
2,500 to 7,499	57	0.40	0.72	1.19
7,500 or more	24	0.36	0.72	1.06

FIGURE 3A-2 Revenue per FTE (by Industry)

	<i>n</i>	25th Percentile	Median	75th Percentile
All industries	828	\$ 88,497	\$200,000	\$539,087
Accommodations, food and drinking places	34	\$ 43,478	\$ 72,140	\$400,000
Biotechnology	10	\$ 90,909	\$267,857	\$448,430
Construction, mining, oil and gas	31	\$125,000	\$274,725	\$555,556
Educational services	17	\$ 73,171	\$150,000	\$261,216
Finance	30	\$ 38,462	\$155,956	\$904,762
Government	34	\$125,000	\$241,270	\$564,972
Health care services	71	\$ 71,429	\$140,167	\$448,430
High-tech	55	\$ 97,959	\$208,421	\$787,402
Manufacturing (durable goods)	95	\$146,990	\$264,368	\$625,000
Manufacturing (nondurable goods)	44	\$153,406	\$287,088	\$603,198
Publishing and broadcasting	22	\$ 94,076	\$166,667	\$518,129
Pharmaceutical	12	\$ 70,378	\$312,927	\$792,398
Retail trade	58	\$111,111	\$311,741	\$614,704
Services (nonprofit)	70	\$ 67,692	\$128,606	\$425,532
Services (profit)	161	\$100,000	\$200,000	\$535,714
Telecommunications	16	\$ 92,151	\$112,401	\$431,115
Transportation and warehousing	29	\$ 90,909	\$358,852	\$600,000
Government agency (all industries)	40	\$ 80,179	\$239,048	\$508,444
Nonprofit organization (all industries)	136	\$ 68,934	\$123,833	\$394,560
Privately owned for-profit organization (all industries)	444	\$107,787	\$236,255	\$655,914
Publicly owned for-profit organization (all industries)	206	\$ 66,667	\$195,890	\$460,829

FIGURE 3A-3 2007 Target Bonus Percentage for Executives
(Percent of Total Compensation, by Organizational Size)

	<i>n</i>	25th Percentile	Median	75th Percentile
All sizes	319	10%	18%	30%
Fewer than 100	78	8%	15%	25%
100 to 249	99	7%	14%	20%
250 to 499	38	15%	23%	30%
500 to 999	24	13%	20%	30%
1,000 to 2,499	33	11%	23%	30%
2,500 to 7,499	31	20%	25%	40%
7,500 or more	16	18%	28%	40%

FIGURE 3A-4 Sample Metrics from SHRM Measurements Library

HR Metrics		
Absence Rate	$\left[\frac{(\# \text{ days absent in month})}{(\text{Ave. \# of employees during mo.})} \times (\# \text{ of workdays}) \right] \times 100$	Measures absenteeism. Determine whether your company has an absenteeism problem. Analyze why and how to address issue. Analyze further for effectiveness of attendance policy and effectiveness of management in applying policy. See white paper titled <i>Absenteeism: Analyzing Work Absences</i> .
Cost per Hire	$\frac{(\text{Advertising} + \text{Agency fees} + \text{Employee referrals} + \text{Travel cost of applicants and staff} + \text{Relocation costs} + \text{Recruiter pay and benefits})}{\text{Number of hires}}$	Costs involved with a new hire. Use <i>EMA/Cost per Hire Staffing Metrics Survey</i> as a benchmark for your organization. Can be used as a measurement to show any substantial improvements to savings in recruitment/retention costs. Determine what your recruiting function can do to increase savings/reduce costs, etc.
Health Care Costs per Employee	$\frac{\text{Total cost of health care}}{\text{Total employees}}$	Per capita cost of employee benefits. Indicates cost of health care per employee. See BLS's publications titled <i>Employer Costs for Employee Compensation</i> and <i>Measuring Trends in the Structure and Levels of Employer Costs for Employee Compensation</i> for additional information on this topic.
HR Expense Factor	$\frac{\text{HR expense}}{\text{Total operating expense}}$	HR expenses in relation to the total operating expenses of organization. In addition, determine if expenditures exceeded, met, or fell below budget. Analyze HR practices that contributed to savings, if any.
Human Capital ROI	$\frac{\text{Revenue} - (\text{Operating expense} - [\text{Compensation cost} + \text{Benefit cost}])}{(\text{Compensation cost} + \text{Benefit cost})}$	Return on investment ratio for employees. Did organization get a return on their investment? Analyze causes of positive/negative ROI metric. Use analysis as opportunity to optimize investment with HR practices such as recruitment, motivation, training, and development. Evaluate whether HR practices are having a causal relationship in positive changes to improving metric.

FIGURE 3A-5 Highlights of SHRM® Customized Benchmarking Service

CUSTOMIZED BY INDUSTRY/EMPLOYEE SIZE/REVENUE SIZE/GEORGRAPHIC REGION/GOVERNMENT/FOR-PROFIT/NONPROFIT/PUBLIC/PRIVATE . . . PLUS MORE

Fill the gap between expensive benchmarking services and going it alone with SHRM's affordable, high-quality customized benchmarking reports.

- Justify additional HR staff
- Defend recruiting and HR budgets
- Make the case for better 401(k) matching
- Devise competitive health care plans
- Brief board members about return on investment
- Conduct due diligence for mergers, reorganizations, and acquisitions

Whether your company size is 50 employees, 10,000, or more, we will help you choose a customized report that compares your organization's key benchmarks with similar organizations. In just days, you will receive your benchmarking report, along with guidelines on how to understand and use the data, definitions, and metric calculations.

- Database of more than 3,000 organizations
- Customize based on two cuts of the data (industry, employee size or other cuts)
- *More than 100 benchmarks!*

Health Care

Retirement

Employment

HR Expenses

Disability & Life Insurance

FIGURE 3A-6 Customized Human Capital Benchmarking Report
for [Your Organization's Name Here]

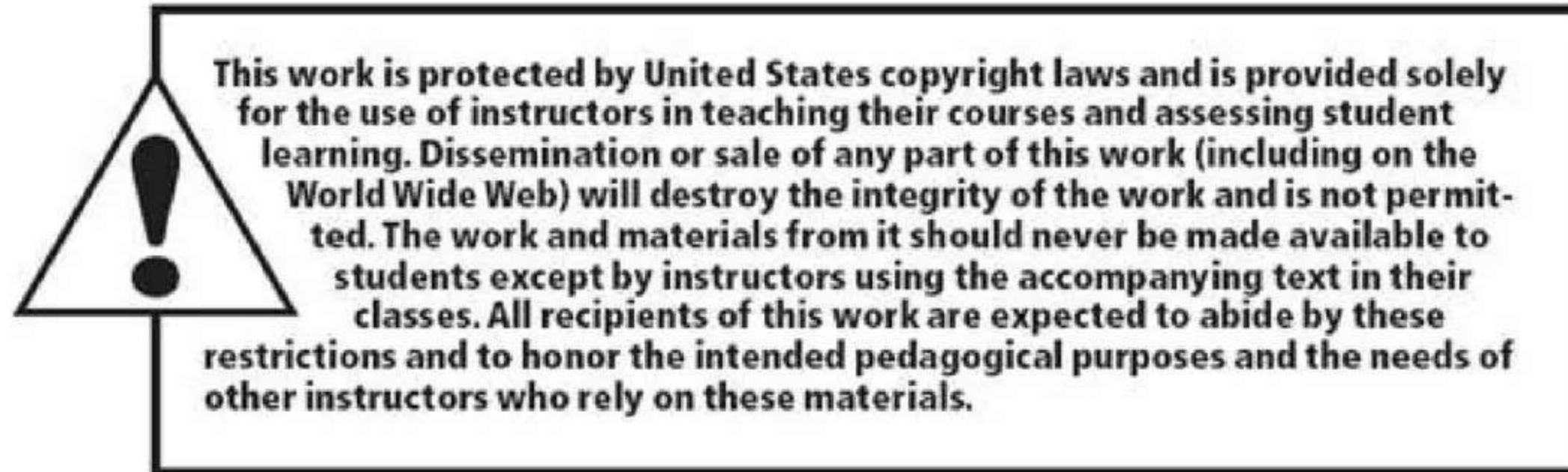
HR Expense Data			
	2006 HR Expenses	2006 HR Expense to Operating Expenses	2006 HR Expense per FTE
<i>n</i>	12	11	12
25th percentile	\$320,000	5.15%	\$1,358
Median	\$548,215	12.86%	\$2,044
75th percentile	\$700,000	16.67%	\$3,550
Average	\$533,421	12.66%	\$2,341

FIGURE 3A-7 Customized Human Capital Benchmarking Report
for [Your Organization's Name Here]

	Employment Data					
	2006 Number of Positions Filled	2006 Time- to-Fill	2006 Cost- per-Hire	2006 Annual Turnover Overall Rate	2006 Annual Voluntary Turnover Rate	2006 Annual Involuntary Turnover Rate
<i>n</i>	16	16	14	16	14	16
25th Percentile	35	27 days	\$1,000	5%	5%	1%
Median	48	55 days	\$3,050	18%	18%	4%
75th Percentile	97	60 days	\$7,000	20%	20%	9%
Average	65	47 days	\$3,918	16%	16%	5%

TABLE 3–2 Examples of HR System Activities the Hotel Paris Can Measure as Related to Each Chapter in This Book

Chapter	Strategic Activities Metrics
2. EEOC	Number EEOC claims/year; cost of HR-related litigation; % minority/women promotions
3. Strategy	% employees who can quote company strategy/vision
4. Job Analysis	% employees with updated job descriptions
5. Recruiting	Number applicants per recruiting source; number qualified applicants/position
6. Testing	% employees hired based on validated employment test
7. Interview	% applicants receiving structured interview
8. Training	Number hours training/employee/year; number hours training new employee
9. Appraisal	Number employees getting feedback; % appraisals completed on time
10. Career Management	% employees with formal career/development plan
11. Compensation	Target percentile for total compensation (pay in top 25%)
12. Incentives	% workforce eligible for merit pay
13. Benefits	% employees 80% satisfied with benefits
14. Ethics	Number grievances/year; % employees able to quote ethics code
15. Labor Relations	% workforce in unions
16. Health and Safety	Number safety training programs/year; \$ accident costs/year; hours lost time due to accidents
17. Global	% expatriates receiving predeparture screening, counseling
Overall HR Metrics	HR cost/employee; HR expense/total expenses; turnover costs



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